

sult,” says Ahluwalia when asked about recourse to arbitration. The Samadhaan portal was set up in 2017 to monitor delayed payments and ensure they are paid in a time-bound manner.

There are other policy measures. Under the MSME Development Act, 2006, if payment is not made within 45 days of receiving the goods or service from the supplier, the buyer must pay compound interest with monthly rests (where interest is calculated based on the outstanding balance) to the supplier on the amount at thrice the notified bank rate. But such measures have seen mixed results. While MSME facilitation centres in each state can settle such disputes, industry players say that cases can drag on for months. Even after the award of the payment, the buyer may default on it or appeal against it. The MSME ministry is looking at amendments to the Act to ensure the award of dues is implemented.

In 2014, the Trade Receivables Discounting System (TReDs) was launched as an electronic platform to facilitate financing and discounting of receivables from MSMEs and help them receive funds against approved invoices within 48 hours. While invoice processing on TReDs is understood to have hit about ₹11,000 crore per month, AIE's Raghunathan says many state governments have not yet accepted it, and many corporates don't care about it.

The proposed implementation of a new income tax provision from April 2024 has thrown MSMEs into a tizzy. The Finance Act 2023 inserted a new clause (h) in section 43B of the Income Tax Act under which, if a company fails to pay an MSME within 45 days, the dues would be added to the buyer's profit and taxed.

While the aim is to promote timely payments to small businesses, MSMEs are worried that this could impact their relations with clients. Some have even given up their MSME registration to ensure clients continue to do business with them. Industry bodies have sent representations to the finance ministry to either extend the period to 90 days or defer its implementation. Praveen Khandelwal, Secretary General of the Confederation of All India Traders (CAIT), says the entire supply chain needs to be brought into it. “Otherwise, it can lead to a huge income tax liability for companies.” CAIT has called for the implementation to be deferred to April 1, 2025.

FUNDING GAP

The perennial challenge for MSMEs remains the funding gap. Getting financing from formal lending channels such as banks and NBFCs at the right time and right rate is crucial, but for most it involves a series of meetings and



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“THE BIGGEST CHALLENGES FOR MSMEs TO COMPETE WITH CHEAPER IMPORTS IN INDIA OR EXPORTS ABROAD ARE ACCESS TO TECHNOLOGY AND GETTING TIMELY PAYMENTS”



**K.E.
RAGHUNATHAN**
NATIONAL
CHAIRMAN, AIE

“MONEY, MARKETING, MATERIALS, MANPOWER, AND MODERNISATION—THESE VITAL NEEDS OF MSMEs HAVE BEEN POORLY ADDRESSED BY POLICYMAKERS”

providing adequate collateral. The credit gap in the sector was pegged at ₹20-25 lakh crore by a report of the Expert Committee on MSMEs headed by former Sebi Chairman U.K. Sinha in 2019. This is seen to be higher now. According to estimates, less than 40% of MSMEs avail credit from formal financial systems. “The credit gap for MSMEs is about ₹28 lakh crore at present but this will increase further as the informal sector enterprises transition into the formal sector,” says Sanjay Agarwal, Senior Director at CareEdge Ratings.

To some extent, the government's measures have helped bridge this gap. Bank lending to MSMEs is currently at ₹22 lakh crore while NBF-Cs have lent ₹3 lakh crore. These include bringing MSMEs into priority sector lending (PSL) and the ₹5 lakh crore Emergency Credit Line Guarantee Scheme (ECLGS) to support businesses. As of March 31, 2023, guarantees amounting to